

News

MOODY'S CORPORATION FIRST QUARTER EARNINGS CONFERENCE CALL

THURSDAY, APRIL 30, 2020

RAY MCDANIEL, MARK KAYE, SHIVANI KAK

Shivani Kak:

Thank you. Good morning everyone, and thanks for joining us on this teleconference to discuss Moody's first quarter 2020 results, as well as our outlook for full year 2020. I am Shivani Kak, Head of Investor Relations. This morning, Moody's released its results for the first quarter 2020, as well our outlook for full year 2020. The earnings press release and a presentation to accompany this teleconference are both available on our website at ir-dot-moodys-dot-com.

Ray McDaniel, Moody's President and Chief Executive Officer, will lead this morning's conference call. Also making prepared remarks on the call this morning is Mark Kaye, Moody's Chief Financial Officer.

During this call, we will also be presenting non-GAAP, or adjusted, figures. Please refer to the tables at the end of our earnings press release filed this morning for a reconciliation between all adjusted measures mentioned during this call and GAAP.

Before we begin, I call your attention to the "Safe Harbor" language, which can be found toward the end of our earnings release. Today's remarks may contain forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. In accordance with the Act, I also direct your attention to the "Management's Discussion and Analysis" section and the risk factors discussed in our Annual Report on form 10-K for the year ended December 31, 2019, and in other SEC filings made by the Company, which are available on our website and on the SEC's website. These, together with the "Safe Harbor" statement, set forth

important factors that could cause actual results to differ materially from those contained in any such forward-looking statements.

I would also like to point out that members of the media may be on the call this morning in a listen-only mode. I'll now turn the call over to Ray McDaniel.

Ray McDaniel:

Thanks, Shivani. Good morning and thank you everyone for joining today's call.

I will begin by providing a general update on the business, including Moody's first quarter 2020 financial results. Mark Kaye will then comment on our outlook for 2020. After our prepared remarks, we will be happy to respond to your questions.

Much of today's call will be focused on the effect the COVID-19 pandemic has had on the economy and our business, along with Moody's preparedness and response. I'd like to start by saying how incredibly proud I am of the dedication and hard work of our employees across the globe. They've made it possible for Moody's to continue operating effectively, demonstrating that the resilience of our business lies with our people. This importantly includes our technology staff, who were proactive in upgrading our infrastructure and planning for remote work.

Amidst these turbulent times, we remain confident in Moody's long-term growth fundamentals. As our expertise is increasingly relied upon in this environment, our mission has become even more critical: to provide trusted insights and standards that help decision makers act with confidence.

We have maintained a healthy balance sheet and ample liquidity which will help us manage through this period of uncertainty. While we had a strong first quarter with robust growth in both revenue and earnings, we expect the implications of COVID-19 to be more pronounced throughout the second half of the year. As a management team, we prepare rigorously for a multitude of contingencies. After careful consideration, we have aligned around a base case scenario with relatively wide-ranging outcomes. This is reflected in our full year 2020 adjusted diluted EPS guidance, which we have lowered and widened to a range of \$7.80 to \$8.40. This is a material change from our previously communicated guidance and we will discuss the changes to our assumptions that drive this updated outlook.

As everyone is aware, the COVID-19 virus has taken a significant toll globally. It has required heroic efforts from the health community to treat millions of

patients, and we would like to express our sincere gratitude to these frontline professionals.

As the pandemic continues, the health and safety of our more than 11,000 employees remains Moody's top priority. Like other organizations, we have transitioned to remote work. We continue to monitor the situation on a local level and will align our future working arrangements with guidance from the relevant authorities such as considerations for adequate testing and contact tracing. Likewise, we are taking steps to ensure we can provide a safe work environment.

In response to the pandemic, we have made our research and insights accessible to the public at large by creating a microsite at moodys-dot-com-slash-coronavirus which contains a wide range of content relating to COVID-19 and its impacts on the markets. In addition, we are regularly engaging with market participants via virtual meetings and webcasts to share our knowledge and opinions.

We are also supporting our local communities, including providing our employees with virtual opportunities to volunteer, and a recently announced \$1 million program of charitable donations and other supporting measures addressing both the immediate and long-term impacts of the pandemic. This follows an initial donation in January to aid in medical relief in China. The program includes global and local grants that are a mixture of humanitarian and other aid to address the impact of COVID-19 on small businesses and education systems. I encourage you to learn more about these and other key corporate-social-responsibility initiatives in our CSR report published earlier this week, and at our microsite moodys-dot-com-slash-csr.

Lastly, we are lending our expertise to governments and policy makers to help mitigate the coronavirus's impact and plan for recovery. Our information and analysis has been critical, for example, in helping to inform stimulus programs and the allocation of fiscal support.

These commitments to our stakeholders exemplify Moody's purpose to bring clarity, knowledge and fairness to an interconnected world.

We continue to proactively engage with our customers in order to provide unique insights specifically relevant to this time of stress. One example, as I mentioned, is our COVID-19 microsite, which aggregates content from across our businesses and includes over 1,000 published reports that have been visited more than 120,000 times. We've seen a 120 percent increase in usage on our website, and

over 35,000 people have participated in coronavirus-related online events that we have organized.

During this crisis, we're investing in our customers and communities, by enhancing existing products and developing new offerings. For instance, we built out our macro-economic scenarios to reflect the potential implications of the coronavirus outbreak in January, and these scenarios have helped hundreds of banking customers project the impact of the virus on their businesses. MA also recently announced its Know Your Supplier portal. This innovative tool aids hospitals and other healthcare providers identify and screen suppliers, as sourcing medical and personal protective equipment for frontline staff remains a critical challenge and, unfortunately, also invites fraud and scams. Finally, MA enhanced its credit decisioning solutions to help lenders underwrite loans on the first day the Paycheck Protection Program was made available to banks and borrowers under the CARES Act.

In addition to our COVID-19 response, we are also remaining focused on key growth initiatives, ensuring that when we emerge from this situation into a "new normal", Moody's will be strongly positioned for continued growth.

I'd like to update you on three of those initiatives where we have been investing in these areas recently and our strategy is beginning to coalesce into unique and powerful customer solutions.

Firstly, KYC, where we recently acquired Regulatory Data Corporation – or RDC – in order to create a leading global player in this space.

We have a compelling and hard-to-replicate suite of solutions, bringing together decades of experience in customer and supplier screening, proprietary databases, and AI capabilities to improve speed and effectiveness in identifying risks.

We are well underway in the integration process, and the recently launched Know Your Supplier portal that I mentioned earlier demonstrates this.

We have also continued to add new features to our compliance product, Compliance Catalyst, including the ability for customers to create their own list of entities with whom they do not want to transact, as well as enabling compliance with US OFAC and EU sanctions regulations regarding entities that are majority-owned by a sanctioned company or individual.

We remain excited about the growth prospects in KYC, as our customers will be searching for new tools and solutions to improve their efficiency in this crucial function.

Another key area of focus for us is ESG, which we are embedding across Moody's. Last week, to commemorate Earth Day, we rolled out our new ESG and Climate Risk hub, [moodys-dot-com-slash-esg](https://www.moodys.com/esg). The site showcases our ESG and Climate Risk capabilities across both lines of business. The products provided by 427, Vigeo Eiris and SynTao Green Finance alone are immensely powerful, but when we bring together these companies' world class data and analytics with MIS's and MA's core competencies, we have an unrivaled offering for our customers.

Finally, we continue to enhance our CRE platform. The commercial real estate market, like many other areas, is under intense pressure right now, and many of our customers are trying to think through the impact to their investment portfolios. We continue to build on our proprietary REIS database, recently launching a new website with a dedicated COVID-19 topic page. With the REIS network, paired with our tools and expertise in ESG, structured credit and risk, we can provide a comprehensive solution with a wide range of use cases to help our customers.

So, we remain focused on creating long-term growth and are optimistic about the prospects for these markets.

Before reviewing our first quarter results, I thought it would be helpful to provide a recap of how COVID-19 affected the credit markets.

The virus has had a starkly negative impact on the global economy, resulting in widespread rising unemployment and recessionary conditions. In response, governments have undertaken unprecedented global monetary easing efforts and fiscal actions.

While we've seen market disruption, we've also observed somewhat of a dichotomy between the impact of these macro shocks on the 'real economy' and the functioning of the credit markets. For instance, investment grade companies have responded to economic uncertainty by bolstering their cash balances and capital positions – with record-levels of bond issuance in March and April. On the other hand, we've observed substantial spread widening in speculative grade issuance markets, and leveraged finance activity curtailed as the contagion intensified. The high yield bond market has begun to reopen, especially at the higher end of the speculative grade ratings scale, while the leveraged loan market

has been slower to recover. Nevertheless, the banking system has remained stable, allowing for a wave of borrowings under revolving credit facilities by corporates seeking liquidity.

We have seen similar trends outside of the corporate sector, in that higher rated names – notably financial institutions – have retained access to the credit markets and used that access to bolster liquidity. We've seen a slowdown in structured finance activity – notably in CLOs, as spreads widened during March given underlying credit concerns. U.S. Public Finance was also active early in the first quarter, yet issuance slowed as funding rates escalated.

As credit markets increasingly 'read through' severe economic stresses and focus more on post-virus underlying fundamentals, we expect that this dichotomy with the 'real economy' may continue until companies and financial institutions have completed their balance sheet and liquidity strengthening initiatives.

I'd like to further highlight the progression of corporate issuance over the course of the first quarter. As you can see, leveraged finance was relatively active early in the quarter given tight spreads and healthy investor demand. However, issuance tapered as high yield spreads significantly widened in March to exceed 1,000 basis points – levels not seen since 2009. The simultaneous surge in investment grade activity drew a contrast as March issuance more than doubled from the prior-year period. These diverging trends inform our issuance outlook, which Mark will elaborate on shortly.

Moving on to the first quarter 2020 results, Moody's exhibited strong performance as both business segments contributed to a 13 percent revenue increase overall from the prior year-period, with 19 percent growth from MIS and 5 percent growth from MA. MA grew 9 percent organically, excluding acquisitions and divestitures.

Moody's adjusted operating income of \$649 million dollars was up 25 percent from the prior-year period. Aided by ongoing cost discipline, the adjusted operating margin expanded by 490 basis points to 50.3 percent. Adjusted diluted EPS of \$2.73 grew by 32 percent.

I will now turn the call over to Mark Kaye to provide further details on our revised outlook for 2020.

Mark Kaye:

Thank you, Ray.

I will begin by discussing how the rapidly evolving events over the last several weeks have affected Moody's outlook for 2020.

Since our Investor Update Call on March 11th, COVID-19 was declared a pandemic by the World Health Organization leading to the implementation of shelter-in-place policies across most of the U.S., Europe and Asia Pacific. With the shutdown of non-essential businesses and reduced staffing needs across many sectors, over 30 million Americans have now filed for unemployment. This economic disruption has materially impacted the normal functioning of markets, and at its extreme points so far, the VIX surged to over 80, oil prices hit multi-decade lows and high yield spreads widened to over 1,000 basis points.

On the other hand as Ray mentioned, governments have implemented unprecedented fiscal support and monetary easing actions, helping to allow credit markets to function to a better degree than what's implied by developments in the underlying economy. Weighing the net effect of these indicators, we have selectively revised downward our 2020 base case assumptions to reflect a more adverse operating environment.

Specifically, our base case scenario assumes that economic activity will remain relatively weak into the third, and possibly fourth, quarter. We currently assume 2020 U.S. and European GDP to decline 5.7 percent and 6.5 percent, respectively, the U.S. full year unemployment rate to be approximately 10 percent, benchmark rates to stay low with high yield spreads remaining in excess of 700 basis points, and high yield default rates be between 11 and 16 percent. All of these figures and assumptions are materially more negative than we anticipated in mid-March.

We continue to closely monitor both the macroeconomic backdrop and the credit markets and will update our assumptions as we gain increasing insight into the impact of COVID-19.

Turning to Moody's full year 2020 guidance.

Moody's outlook for 2020 is based on assumptions about many geopolitical conditions and macroeconomic and capital market factors. These include, but are not limited to, the impact of the COVID-19 pandemic, the responses to the pandemic by governments, businesses and individuals, as well as disruptions in the energy markets, the effects on interest rates, capital markets' liquidity, and activity in different sectors of the debt markets. Our assumptions also include

interest and foreign currency exchange rates, corporate profitability and business investment spending, mergers and acquisitions, and the level of debt capital markets activity. These assumptions are subject to uncertainty, and results for the year could differ materially from our current outlook.

Our guidance assumes foreign currency translation at end-of-quarter exchange rates. Our forecast reflects U.S. exchange rates for the British pound of \$1.24 and for the Euro of \$1.10.

We anticipate that both Moody's revenue and operating expenses will decline in the mid-single-digit percent range.

The full year 2020 adjusted operating margin is forecast to be in the range of 46 to 48 percent. We are targeting net interest expense to be between \$180 and \$200 million dollars. The full year effective tax rate is anticipated to be in the range of 19.5 to 21.5 percent. Diluted EPS and adjusted diluted EPS are forecast to be in the range of \$7.25 to \$7.85, and \$7.80 to \$8.40, respectively. Free cash flow is expected to be in the range of \$1.2 to \$1.4 billion dollars. For a full list of our guidance, please refer to Table 12 of our earnings release.

For MIS, we anticipate total revenue to decline in the high-single-digit percent range and for issuance to decline in the low-double-digit percent range, with an estimated 600 new mandates. MIS's internal forecast calls for investment grade issuance to increase 10 percent, with a 20 percent decline in high yield and a 40 percent decline in bank loans. We assume that liquidity-driven issuance will continue. However, fewer M&A financings will reduce total rated issuance. Additionally, we expect there to be a lower proportion of infrequent issuer activity, leading to a less favorable mix of issuance. The stable recurring revenue base along with cost discipline will provide ballast to the margin for these downwardly revised revenue drivers. The MIS adjusted operating margin is forecast to be in the range of 55 to 57 percent.

We remain confident in MIS's long-term fundamentals despite COVID-19-related headwinds. As the graphs on this slide show, at the start of the year, MIS-rated non-financial corporates had over \$4 trillion dollars of refinancing needs in the following 4 to 5 years. This provides a future base for issuance, although the recent surge in investment grade issuance has likely steepened the latter years of these charts and resulted in new maturities beyond the time periods we show here. Furthermore, as I previously indicated, speculative grade default rates are likely to increase and these refinancing amounts may be reduced or their time periods delayed as a result. Aside from refinancing, we expect that M&A will at

some point re-emerge as a prominent use of proceeds for debt capital markets activity.

For MA, we forecast total revenue to grow in the mid-single-digit percent range due to the business' strong recurring revenue base, robust organic performance and contribution from recent acquisitions. This growth reflects the offsetting impact of the MAKs divestiture. With strong expense discipline, we still expect the MA adjusted operating margin to expand over 200 basis points in 2020 to approximately 30 percent.

As I just noted, MA's ability to continue growth on a reported and organic basis during 2020 is enabled by its high recurring revenue base, with only around 10 percent of MA's 2020 revenue anticipated to be derived from new sales. However, due to the disruption from COVID-19 related social distancing guidelines, we have curtailed in-person sales meetings and, as a result have prudently included an impact to renewal yields and new sales development in our forecast.

I'd like to highlight here that MA has had a stable history of strong retention rates between 94 and 96 percent since 2012, and its track record of retaining customers spans multiple products and services. Research, ERS and BvD all had retention rates of 92 percent or higher in 2019.

As such, we expect that MA will provide overall stability for Moody's in mitigating the revenue impacts associated with COVID-19 in 2020.

During this period, MA is increasing its emphasis on proactive customer support while focusing on our customers' evolving needs through innovation, new value propositions and enhanced product features. MA has adapted to the current situation by holding substantially more virtual meetings, which has led to an increase in the total number of sales meetings compared to the prior-year period. The effectiveness of these virtual meetings has yet to be fully determined and as such, we anticipate that the sales cycle may extend beyond the typical average of 9 to 12 months.

I'd like to provide additional colour on our plan to reduce expenses in the mid-single-digit percent range in 2020. In recent years, we have been actively managing our expense base and our guidance includes a \$60 million dollar benefit related to the restructuring plan we completed in mid-2019. We also assume \$30 million dollars in additional cost savings from increased utilization of lower cost locations, M&A synergies and improved process efficiencies through technology.

As you can see on the bottom chart, the guidance we provided during the Investor Update Call on March 11th was for an increase in expenses in the low-single-digit percent range, rather than the decrease in the mid-single-digit percent range that we now assume. The incremental savings from our prior guidance is substantially due to lower incentive compensation and reduced spending in marketing and travel and entertainment costs, along with reprioritization of investment and project spending.

I'd note that we expect to continue investing in key areas such as ESG, KYC, China and enabling technologies to support future growth opportunities. We've developed our investment plans on a contingency basis, in case our assumptions on the impact of COVID-19 vary significantly.

I also want to make it clear that supporting our stakeholders during COVID-19 through the heightened relevance of our insights, analytics and data means that maintaining our employee base remains a high priority. As such, we have not factored material headcount reductions into our expense guidance.

Moody's remains focused on proactively managing capital and preserving strong liquidity. As of the end of the first quarter, we held \$2.2 billion dollars of cash and short-term investments and maintained an undrawn \$1 billion dollar revolving credit facility. In March, we issued \$700 million dollars of 5-year notes which illustrated investor confidence in Moody's and our capacity to access the capital markets, even in turbulent times. Our maturity schedule is well balanced, while our weighted average coupon is over a percentage point lower than it otherwise would have been without the benefit of our hedging programs. We continue to be anchored around a BBB+ rating, indicative of the appropriate level of leverage to provide both financial flexibility and capital efficiency. And finally, while we have confidence in the resilience of the business and the strength of our balance sheet, given the uncertainty around the extent and duration COVID19, we have temporarily suspended share repurchases in favor of prioritizing liquidity management.

Before turning the call back over to Ray, I would like to emphasize a few key takeaways.

Moody's continues to operate effectively, demonstrating our resilience to the impact of COVID-19. We are highly engaged with our key stakeholders, who look to the insights and expertise we provide, especially during times of stress. We are actively adapting to meet the current circumstances, innovating new products and

leveraging technologies to stay connected. Lastly, our strong balance sheet and disciplined expense management position us for sustainable long-term growth.

I will now turn the call back over to Ray.

Ray McDaniel:

Thank you, Mark.

This concludes our prepared remarks. Joining Mark Kaye and me in a virtual format for the question and answer session are Rob Fauber, Moody's Chief Operating Officer, and special guests Steve Tulenko and Mike West, the Presidents of MA and MIS respectively. We would be pleased to take your questions.

"Safe Harbor" Statement under the Private Securities Litigation Reform Act of 1995

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for the business and operations of Moody's Corporation (the "Company") that involve a number of risks and uncertainties. Such statements may include, among other words, "believe", "expect", "anticipate", "intend", "plan", "will", "predict", "potential", "continue", "strategy", "aspire", "target", "forecast", "project", "estimate", "should", "could", "may" and similar expressions or words and variations thereof that convey the prospective nature of events or outcomes generally indicative of forward-looking statements. The forward-looking statements and other information in this release are made as of the date hereof and the Company undertakes no obligation (nor does it intend) to publicly supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise, except as required by applicable law or regulation. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying examples of factors, risks and uncertainties that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the impact of COVID-19 on volatility in the U.S. and world financial markets, on general economic conditions and GDP growth in the U.S. and worldwide, and on the company's own operations and personnel. Many other factors could cause actual results to differ from Moody's outlook, including credit market disruptions or economic slowdowns, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that

could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to uncertainty as companies transition away from LIBOR and Brexit; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting credit markets, international trade and economic policy, including those related to tariffs and trade barriers; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act ("Dodd-Frank") and regulations resulting from Dodd-Frank; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Dodd-Frank legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the expansion of supervisory remit to include non-EU ratings used for regulatory purposes; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including data protection and privacy laws, sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate such acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are currently, or in the

future could be, amplified by the COVID-19 outbreak and are described in greater detail under “Risk Factors” in Part I, Item 1A of the Company’s annual report on Form 10-K for the year ended December 31, 2019, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company’s actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company’s business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.